Investment banks

An investment bank offers distinct financial services, dealing with larger and more complicated financial deals than retail banks.

How it works

Investment banks work with large companies, other financial institutions such as investment houses, insurance companies, pension funds, hedge funds, governments, and individuals who are very wealthy and have private funds to invest.

Investment banks have two distinct roles. The first is corporate advising, meaning that they help companies take part in mergers and acquisitions, create financial products to sell, and bring new companies to market. The second is the brokerage division where trading and market-making—in which the investment bank provides mediation between those who want to buy shares and those who want to sell—take place. The two are supposed to be separate and distinct, so within an investment bank there is a so-called "wall" between these divisions to prevent conflict of interest.

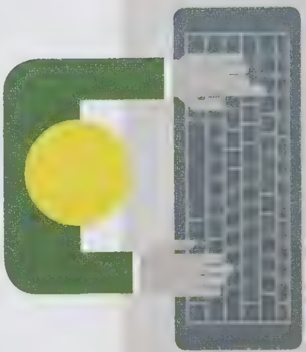
Areas of business

While the brokerage and corporate advising divisions of an investment bank are theoretically distinct, there is inevitably overlap between the two areas of, for example, market-making and underwriting new share issues, or mergers and acquisitions advising and research.

WARNING

- **Although investment banks** help to keep money moving around the world, if they run into difficulties it can affect cash flow across geographical boundaries.
- **Investment banks** are exposed both to the inherent risks in the assets that they hold, and also the risk that other financial companies with which they are connected might fail. This is called counterparty risk.

Brokerage



Proprietary trading

Investment banks have their own funds, and they can both invest and trade their own money, subject to certain conditions.

Acting as a broker

Banks can match investors who want to buy shares with companies wanting to sell them, in order to create a market for those shares (known as market-making).

Research

Analysts look at economic and market trends, make buy or sell recommendations, issue research notes, and provide advice on investment to high net-worth and corporate clients.